STRIKE PRICE

STRIKE PRICE REFERS TO THE PRICE AT WHICH THE BUYER OR SELLER HAS THE RIGHT TO BUY OR SELL THE ASSET IN THE FUTURE AS PER THE CONTRACT. STRIKE PRICE IS THE PRICE THAT DETERMINES THE PROFIT OR LOSS ON THE POSITION.

For instance, if we have a call option strike price at ₹2100 and at the time of expiry the price is ₹2900, then the difference of ₹800, calculated from the strike, would be the payoff.

Had the strike price been ₹2500, then the payoff would have been ₹400 instead of ₹800